

Notes: Pástor & Veronesi (JFE, 2013)

Political Uncertainty and Risk Premia

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1 Big picture

- **Question.** How does uncertainty about future government policy affect stock prices, volatility, correlation, and the equity risk premium?
- **Core mechanism.** The government chooses whether to retain the current policy or adopt one of two possible new policies. Investors learn about policy impacts and political costs, but the policy decision is uncertain before it is made.
- **State dependence.** Political uncertainty is most important in weak economic conditions because bad conditions make policy change more likely.
- **Implicit put protection.** The government provides an implicit put to the market: when economic conditions become very weak, the government is likely to change policy in a way that supports firm profitability. Political uncertainty weakens the value of this put.
- **Risk premium result.** Political uncertainty commands a risk premium because policy shocks affect all firms and are not diversifiable. This risk premium is larger when economic conditions are weak.
- **Volatility and correlation result.** Political uncertainty makes stocks more volatile and more correlated, especially in bad economic conditions, because policy news is a common shock to all firms.
- **Empirical result.** Using the Baker-Bloom-Davis policy uncertainty index, the paper finds evidence consistent with the model: political uncertainty is higher in weak economic conditions and is associated with higher volatility and correlation.
- **Takeaway.** Political news affects asset prices not only through expected cash flows but also through risk premia, volatility, and correlations. The same amount of policy uncertainty is more dangerous in recessions than in booms.

2 Incremental contribution of the paper

- **Political uncertainty as priced risk.** Prior work documented that policy news moves markets. This paper provides a general equilibrium asset-pricing model in which political uncertainty is a systematic risk factor that commands a risk premium.
- **State-dependent policy risk.** The paper's key innovation is to show that the price of political uncertainty depends on economic conditions. Policy risk is not a constant wedge; it is strongest when the economy is weak.
- **Government put channel.** The model formalizes the idea that governments implicitly insure markets against bad economic states. Political uncertainty reduces the value of this insurance by making investors unsure what policy will be adopted.
- **Decomposition of risk premia.** The paper decomposes the equity risk premium into capital-shock, impact-shock, and political-shock components. This is more informative than showing a single aggregate premium.
- **Joint predictions for price level, volatility, and correlation.** The model produces a unified explanation for why policy uncertainty lowers stock valuations, raises volatility, raises correlations, and raises risk premia.
- **Exploratory empirical bridge.** The paper links the theoretical predictions to empirical patterns using a new policy uncertainty index, showing that the model's signs are visible in aggregate data.

Interpretation: The incremental contribution is not simply that political uncertainty matters. The paper explains *when* and *why* it matters: policy uncertainty is most costly when investors expect government policy to act as insurance against weak economic conditions.

3 Data and measurement

3.1 Theoretical state variables

The central state variable is the posterior mean of the old policy’s impact on aggregate profitability,

$$\hat{g}_t = E_t[g^0],$$

which summarizes economic conditions. High values of $\hat{g}_t$ indicate strong conditions; low values indicate weak conditions.

The government can retain policy 0 or switch to a new risky policy H or a new safe policy L . The model contains uncertainty about:

- the impact of each policy on aggregate profitability;
- the political costs of adopting each new policy;
- the signals observed before the policy decision;
- the eventual government policy choice.

Interpretation: In the model, economic conditions are not simply an exogenous recession dummy. They summarize the market’s beliefs about profitability under the current policy. This matters because weak conditions change the probability of policy reform.

3.2 Parameter calibration

Table 1 reports the baseline parameters used in the figures. The authors emphasize that the calibration is illustrative rather than a serious quantitative calibration.

- σ_g measures prior uncertainty about policy impact.
- σ_c measures prior uncertainty about political costs.
- μ and σ govern profitability dynamics.
- τ is the date of the policy decision and $t = \tau - 1$ is the time when political debates begin.
- h measures the precision of signals about political costs.
- $\sigma_{g,L}$ and $\sigma_{g,H}$ determine uncertainty about the new safe and risky policies.

Interpretation: These parameters pin down how likely policy change is, how uncertain policy impacts are, and how strongly political news moves prices.

3.3 Empirical variables

The empirical analysis is deliberately exploratory. The main empirical proxy for political uncertainty is the Baker-Bloom-Davis policy uncertainty index, denoted PU_t .

The paper compares PU_t with five proxies for economic conditions:

- Chicago Fed National Activity Index (CFI);
- negative NBER recession dummy ($-REC$);
- industrial production growth (IPG);
- aggregate price-earnings ratio (P/E);
- negative AAA-BBB default spread ($-DEF$).

It also studies stock-market volatility and correlation:

- equal-weighted and value-weighted average pairwise correlations among S&P 500 stocks;
- realized volatility of the S&P 500;
- implied volatility from VIX.

Interpretation: The empirical section is not designed as a full causal test. It asks whether the aggregate time-series patterns have the signs predicted by the theory.

4 Model and theoretical specifications

4.1 Government policy choice

The government chooses the policy with the highest perceived utility. A simplified representation is:

$$\text{choose } n \in \{0, L, H\} \quad \text{to maximize} \quad \tilde{\mu}_n - \frac{\gamma}{2}(T - \tau)\sigma_{g,n}^2 - C_n.$$

The old policy has an uncertain impact that investors learn about over time. The new policies also have uncertain impacts and uncertain political costs.

Interpretation: The government is not assumed to maximize shareholder value. It weighs policy impact, uncertainty, and political costs. This creates a gap between what investors want and what the government chooses.

4.2 Policy adoption probabilities

Let p_t^0 , p_t^L , and p_t^H denote the probabilities that the government retains the old policy or adopts one of the two new policies. These probabilities depend on economic conditions $\hat{g}_t$ and political signals.

$$p_t^0 + p_t^L + p_t^H = 1.$$

Interpretation: When $\hat{g}_t$ is low, the old policy is perceived as failing, so the government is more likely to adopt a new policy. When $\hat{g}_t$ is high, the old policy is likely to be retained.

4.3 Stock price level

The model prices stocks using a market-to-book ratio M/B. This ratio is increasing in expected future profitability and affected by the probability distribution over policy outcomes.

$$M/B_t = f(\hat{g}_t, p_t^0, p_t^L, p_t^H, \text{policy-impact beliefs}).$$

Interpretation: Economic shocks move stock prices by changing expected profitability. Political shocks move stock prices by changing beliefs about which policy will be adopted.

4.4 Equity risk premium decomposition

The equity risk premium has three components in the baseline model:

$$ERP_t = ERP_t^{capital} + ERP_t^{impact} + ERP_t^{political}.$$

- **Capital-shock component:** compensation for shocks to capital.
- **Impact-shock component:** compensation for learning about policy impacts.
- **Political-shock component:** compensation for learning about political costs and the likelihood of policy change.

Interpretation: The political risk premium is state dependent. It is large in weak economic conditions because policy decisions become more likely and more uncertain.

4.5 Volatility and correlation

Political shocks are common shocks. They move all firms' cash-flow prospects and discount rates through the same policy channel. Therefore, political uncertainty raises both volatility and correlations.

$$PU_t \uparrow \Rightarrow \sigma_{returns,t} \uparrow, \quad Corr_{ij,t} \uparrow.$$

Interpretation: The correlation prediction is especially distinctive. Idiosyncratic firm news does not move all stocks together, but political news does.

4.6 Business-cycle extension

The paper extends the model to include an additional productivity state μ_t :

$$d\mu_t = \beta(\bar{\mu} - \mu_t)dt + \sigma_\mu dZ_{\mu,t},$$

with a signal

$$dS_t = \mu_t dt + \sigma_S dZ_{S,t}.$$

This extension allows economic conditions to include government-unrelated business-cycle variation as well as policy-related profitability.

Interpretation: The extension shows that the baseline conclusions survive when weak economic conditions are not driven solely by government policy.

5 Identification and empirical design

5.1 What the empirical section tests

The empirical section tests five broad predictions:

1. political uncertainty is higher when economic conditions are weaker;
2. stocks are more volatile when political uncertainty is higher;
3. stocks are more correlated when political uncertainty is higher;
4. the volatility/correlation relation with political uncertainty is stronger in weak economic conditions;
5. the equity risk premium is higher when political uncertainty is high, especially in weak conditions.

Interpretation: The paper emphasizes that these tests are exploratory. They establish sign consistency rather than strict causal identification.

5.2 Regression for economic conditions

The first empirical regression is:

$$PU_t = a + bE_t + e_t,$$

or with a lag:

$$PU_t = a + bE_t + cPU_{t-1} + e_t.$$

The model predicts

$$b < 0,$$

because E_t is scaled so that higher values mean better economic conditions.

Interpretation: A negative slope means policy uncertainty is higher when economic conditions are worse.

5.3 Regression for volatility and correlation

The volatility/correlation regression is:

$$VC_t = a + bPU_t + e_t,$$

or

$$VC_t = a + bPU_t + cVC_{t-1} + e_t.$$

The model predicts $b > 0$: higher political uncertainty raises volatility and correlations.

5.4 Interaction with economic conditions

To test whether the relation is stronger in weak economic conditions, the paper estimates:

$$VC_t = a + bPU_tE_t + cPU_t + dE_t + e_t,$$

with and without lagged VC_t . The model predicts

$$b < 0.$$

Interpretation: Since high E_t means good economic conditions, a negative interaction means political uncertainty has a larger positive effect on volatility/correlation when economic conditions are weak.

5.5 Equity risk premium regressions

The paper uses realized future excess market returns and fitted expected returns as proxies for the equity risk premium:

$$R_{t+1,t+h} = a + bPU_tE_t + cPU_t + dE_t + e_t.$$

The model predicts $b < 0$: the risk premium associated with political uncertainty is higher in weak conditions.

5.6 Main limitations

- The policy uncertainty index may capture other forms of macroeconomic uncertainty.
- The sample is short for risk-premium regressions.
- Realized excess returns are noisy proxies for expected returns.
- The empirical section does not establish causality from policy uncertainty to prices.
- The model is stylized and does not model the political economy of policy choice in full detail.

Interpretation: The paper’s main contribution is theoretical. The empirical section is a first-pass validation that the model’s qualitative predictions are plausible in the data.

6 Tables and figures

6.1 Table 1: Parameter choices; Figure 1: Probability of adopting the given government policy

Read: Table 1 reports the baseline parameters used for the numerical figures. Figure 1 plots the probabilities of retaining the old policy, adopting the new risky policy, or adopting the new safe policy as functions of economic conditions $\hat{g}_t$.

Economic message: The figure shows why political uncertainty is state dependent. In very bad conditions, policy change is likely but the identity of the new policy is uncertain. In good conditions, the old policy is likely to remain.

The key visual feature is the crossing of the curves. When $\hat{g}_t$ is very low, the government almost surely abandons the old policy, but investors remain uncertain between the new policies. Around intermediate conditions, the old policy probability changes rapidly, so small shocks to economic conditions have large price effects.

Table 1

Parameter choices.

This table reports the baseline parameter values used to produce the theory figures. All variables are reported on an annual basis except for γ , which denotes risk aversion. The parameter choices for the first eight parameters are the same as in Pástor and Veronesi (2012). The value of $h = 5\%$ is chosen equal to the value of σ , to equate the speeds of learning about the policy impacts and political costs. The prior uncertainties about the new policies, $\sigma_{g,L} = 1\%$ and $\sigma_{g,H} = 3\%$, are chosen to be symmetric around the old policy’s $\sigma_g = 2\%$.

σ_g	σ_c	μ	σ	σ_1	T	τ	γ	h	$\sigma_{g,L}$	$\sigma_{g,H}$
2%	10%	10%	5%	10%	20	10	5	5%	1%	3%

Table 1: baseline parameter choices used in the numerical model.

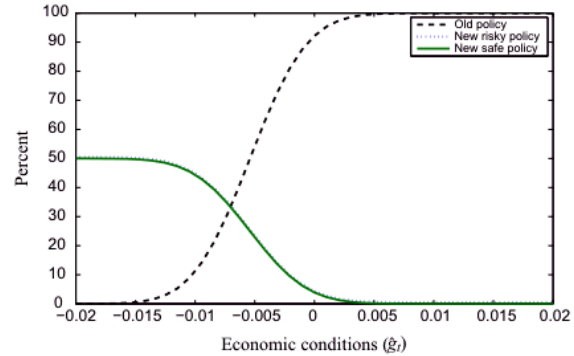


Figure 1: policy adoption probabilities as economic conditions vary.

Table 1 and Figure 1. The parameter choices generate the policy-choice probabilities. Pairing them makes clear how the illustrative calibration produces the state-dependent political uncertainty mechanism.

6.2 Figure 2: The level of stock prices; Figure 3: The equity risk premium and its components

Read: Figure 2 plots market-to-book ratios against economic conditions under different political-cost beliefs. Figure 3 decomposes the equity risk premium into capital-shock, impact-shock, and political-shock components.

Economic message: Political shocks matter most in weak and intermediate economic conditions. The equity risk premium is hump-shaped because the government put and policy uncertainty work in opposite directions.

Figure 2 shows the implicit government put: when conditions are extremely bad, policy change cushions the stock market. Figure 3 shows that political risk contributes substantially to the risk premium in weak states, while impact risk dominates in better states.

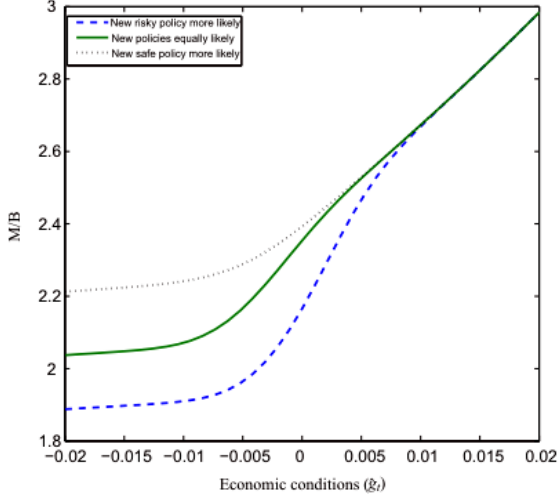


fig. 2. The level of stock prices: the effects of economic and political shocks. This figure plots the aggregate stock price level, measured by the market-to-book ratio and economic/political shocks.

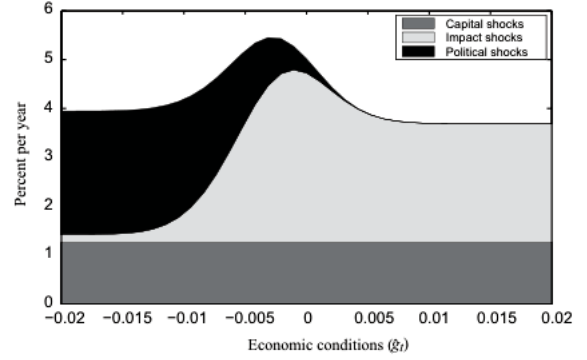


Figure 3: equity risk premium decomposition.

Figures 2 and 3. The left panel explains how policy beliefs affect price levels; the right panel explains how the same mechanism prices risk.

6.3 Figure 4: Risk premium components - effects of σ_g and σ_c ; Figure 5: Risk premium components - effects of h and $\tau - t$

Read: Figure 4 varies prior uncertainty about policy impact and political costs. Figure 5 varies the precision of political signals and the time remaining before the policy decision.

Economic message: More uncertainty about policy impacts and political costs raises the political and impact components of the risk premium. Better signals and shorter time to policy resolution change which component dominates.

These comparative statics show that the model's state-dependent political risk premium is not a fragile feature of one parameter choice. The decomposition changes in magnitude, but the basic prediction that political risk is priced most strongly in weak conditions remains.

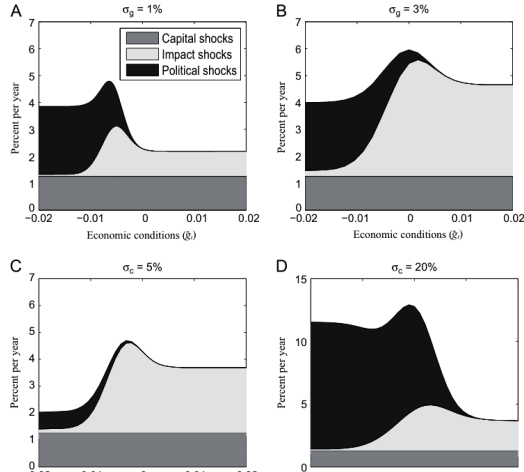


Figure 4: effects of policy-impact and political-cost uncertainty.

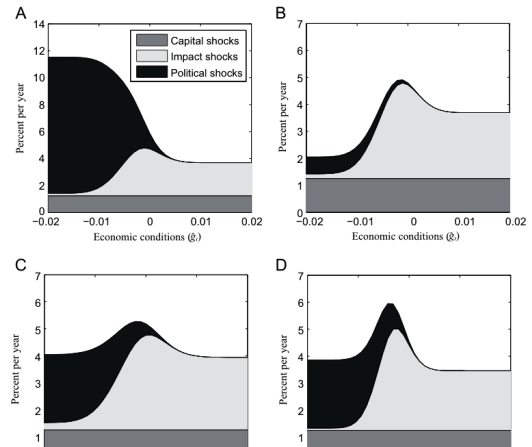


Figure 5: effects of signal precision and time to decision.

Figures 4 and 5. These robustness figures vary uncertainty and learning parameters. They are paired because both ask how the model's risk-premium decomposition changes when the political-information environment changes.

6.4 Figure 6: The equity risk premium and its components - effect of policy heterogeneity; Figure 7: Stock price level, volatility, and correlation - effect of policy heterogeneity

Read: Figure 6 varies the heterogeneity of the new policies. Figure 7 shows how the same heterogeneity affects price levels, volatility, and correlation.

Economic message: Greater heterogeneity among possible new policies makes policy choice more important. This raises political risk premia, volatility, and correlations, especially when the economy is weak.

The key idea is that political uncertainty is not just about whether policy changes. It is also about *which* policy replaces the old one. When possible policies differ greatly, investors face a larger common shock at the policy decision.

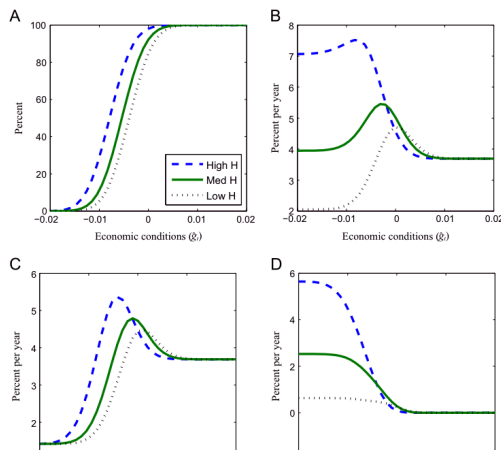


Figure 6: policy heterogeneity and risk premia.

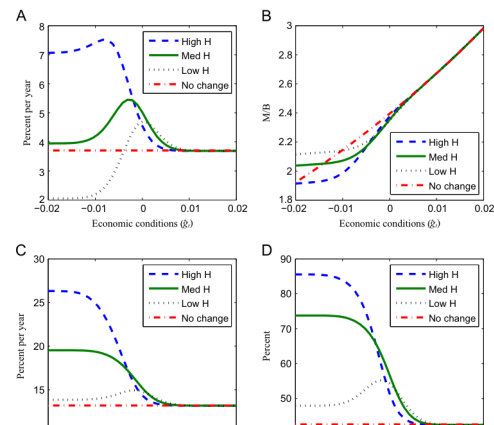


Figure 7: policy heterogeneity, price level, volatility, and correlation.

Figures 6 and 7. These figures jointly show that policy heterogeneity affects both expected returns and second moments of stock returns.

6.5 Figure 8: Business-cycle model extension; Figure 9: Political uncertainty versus stock market correlation and volatility

Read: Figure 8 extends the model to allow business-cycle variation unrelated to government policy. Figure 9 plots the empirical policy uncertainty index against stock correlations and volatility.

Economic message: Figure 8 shows that the political-risk mechanism survives a broader business-cycle model. Figure 9 shows that policy uncertainty comoves strongly with volatility and correlation in the data. Figure 8 is important because it removes the concern that all bad economic conditions in the model are government-related. Figure 9 is the empirical counterpart: it visually motivates the regressions in Tables 3 and 4 by showing that political uncertainty rises with market-wide comovement and volatility.

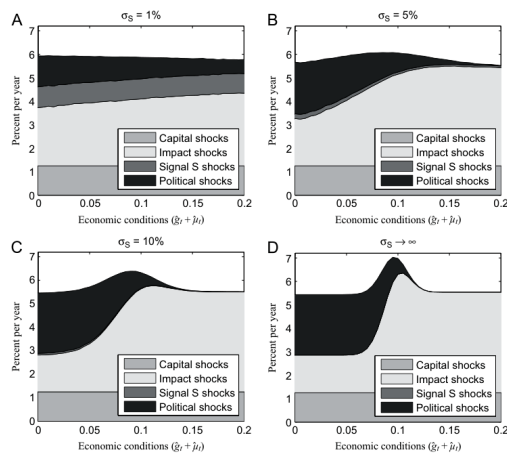


Figure 8: business-cycle extension.

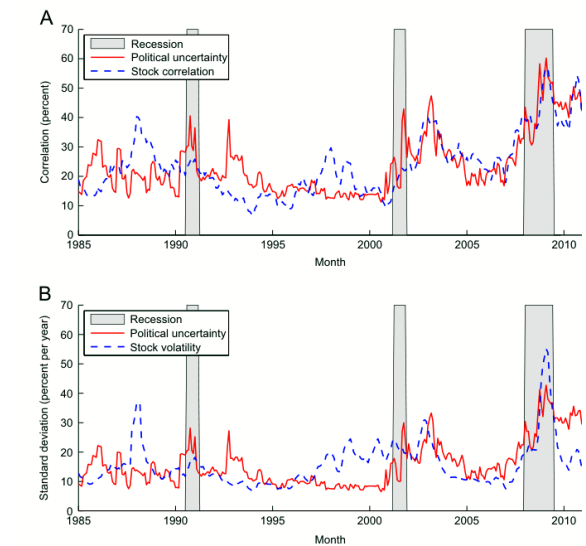


Figure 9: policy uncertainty, correlation, and volatility.

Figures 8 and 9. The left figure extends the theory; the right figure shows the empirical comovement that motivates the time-series tests.

6.6 Table 2: Political uncertainty and economic conditions; Table 3: Political uncertainty, volatility, and correlation

Read: Table 2 estimates whether political uncertainty is higher in weak economic conditions. Table 3 estimates whether volatility and correlations rise with political uncertainty.

Economic message: The signs are broadly consistent with the model: policy uncertainty is negatively related to economic conditions, and stock volatility/correlation are positively related to political uncertainty. Table 2 supports the first prediction: weaker macro conditions are associated with higher policy uncertainty. Table 3 supports the common-shock channel: policy uncertainty is associated with higher volatility and higher correlations.

Table 2

Political uncertainty and economic conditions.

This table addresses the question “Is there more political uncertainty when economic conditions are worse?” The table reports the estimated slope coefficients b and their t -statistics from the following two regressions:

$$\begin{aligned}\text{Specification 1 : } & PU_t = a + bE_t + e_t \\ \text{Specification 2 : } & PU_t = a + bE_t + cPU_{t-1} + e_t.\end{aligned}$$

Political uncertainty PU_t is proxied by the policy uncertainty index of Baker, Bloom, and Davis (2012), which we scale down by 100. We use five different monthly proxies for economic conditions E_t : the Chicago Fed National Activity Index (CFI), minus the NBER recession dummy ($-REC$) industrial production growth (IPG), Shiller’s price-to-earnings ratio for the aggregate stock market (P/E), and minus the AAA-BBB corporate bond default spread ($-DEF$). Since higher values of each proxy indicate better economic conditions, our theory predicts $b < 0$. The t -statistics, reported in parentheses, are computed based on Newey-West standard errors with three lags. The sample period is January 1985 through December 2010.

	Measure of economic conditions				
	CFI	$-REC$	IPG	P/E	$-DEF$
Specification 1	-0.31 (-7.24)	-0.69 (-5.12)	-20.95 (-4.10)	-0.02 (-3.38)	-0.75 (-8.61)
Specification 2	-0.05 (-3.90)	-0.09 (-2.75)	-2.90 (-1.85)	-0.00 (-1.58)	-0.09 (-3.06)

Table 2: political uncertainty and economic conditions.

Tables 2 and 3. These tables test the first two empirical predictions: policy uncertainty is countercyclical, and it is associated with market-wide volatility and comovement.

6.7 Table 4: Political uncertainty, volatility, correlation, and economic conditions; Table 5: Political uncertainty and the equity risk premium

Read: Table 4 estimates interaction regressions testing whether the volatility/correlation relation with political uncertainty is stronger in weak conditions. Table 5 tests whether the equity risk premium associated with political uncertainty is higher in weak conditions.

Economic message: The strongest support is for volatility: political uncertainty is more strongly associated with volatility when economic conditions are weak. The risk-premium evidence is suggestive but less powerful because expected returns are difficult to measure.

The interaction coefficient is the key coefficient. Because economic-condition measures are signed so that higher values mean better conditions, a negative interaction supports the model. Table 4 provides strong support for volatility and weaker support for correlation. Table 5 provides suggestive support for the risk-premium prediction, especially using fitted expected returns.

Table 3

Political uncertainty, volatility, and correlation.

This table asks: “Are stocks more volatile and more correlated when there is more political uncertainty?” The table reports the estimated slope coefficients b and their t -statistics from the following two regressions:

$$\begin{aligned}\text{Specification 1 : } & VC_t = a + bPU_t + e_t \\ \text{Specification 2 : } & VC_t = a + bPU_t + cVC_{t-1} + e_t.\end{aligned}$$

PU_t is the policy uncertainty index of Baker, Bloom, and Davis (2012), divided by 100. VC_t stands for either volatility or correlation. We use two correlation measures, which represent equal-weighted (EW) and value-weighted (VW) averages of pairwise correlations for all stocks that comprise the S&P 500 index. We use two market volatility measures: realized volatility of the S&P 500 index, computed from daily index returns within the month, and implied volatility, measured by the average daily value of the VIX index within the month. The t -statistics are computed based on Newey-West standard errors with three lags. The sample period is January 1985 through December 2010, except for the regressions that involve VIX, for which the sample begins in January 1990 due to limited data availability.

	Correlation		Volatility	
	EW	VW	Realized	Implied
Specification 1	0.17 (9.81)	0.15 (7.25)	0.01 (4.81)	0.08 (5.27)
Specification 2	0.09 (6.43)	0.07 (5.14)	0.00 (3.45)	0.01 (2.53)

Table 3: political uncertainty, volatility, and correlation.

Table 4

Political uncertainty, volatility, correlation, and economic conditions.

This table addresses the question: "Are stock volatilities and correlations more positively associated with political uncertainty when economic conditions are weaker?" The table reports the estimated slope coefficients b and their t -statistics from the following two regression specifications:

$$\text{Specification 1: } VC_t = a + bPU_t E_t + cPU_t + dE_t + e_t$$

$$\text{Specification 2: } VC_t = a + bPU_t E_t + cPU_t + dE_t + eVC_{t-1} + e_t$$

PU_t is the policy uncertainty index of Baker, Bloom, and Davis (2012), divided by 100. VC_t stands for either volatility or correlation. We use two correlation measures, which represent equal-weighted (EW) and value-weighted (VW) averages of pairwise correlations for all stocks that comprise the S&P 500 index. We use two market volatility measures: realized volatility of the S&P 500 index, computed from daily index returns within the month, and implied volatility, measured by the average daily value of the VIX index within the month. We use five proxies for economic conditions E_t : the Chicago Fed National Activity Index (CFI), minus the NBER recession dummy ($-REC$), industrial production growth (IPG), Shiller's price-to-earnings ratio for the aggregate stock market (P/E), and minus the AAA-BBB corporate bond default spread ($-DEF$). Since higher values of each proxy indicate better economic conditions, our theory predicts $b < 0$. The t -statistics are computed based on Newey-West standard errors with three lags. The sample period is January 1985 through December 2010, except for the regressions that involve VIX, for which the sample begins in January 1990 due to limited data availability.

	Measure of economic conditions				
	CFI	-REC	IPG	P/E	-DEF
<i>Panel A: Specification 1</i>					
Correlation: EW	-0.03 (-2.41)	-0.04 (-0.96)	-3.53 (-2.36)	-0.00 (-0.00)	-0.00 (-0.08)
Correlation: VW	-0.03 (-1.92)	-0.03 (-0.60)	-3.54 (-2.03)	-0.00 (-0.26)	0.04 (1.28)
Volatility: Realized	-0.00 (-5.46)	-0.01 (-4.39)	-0.39 (-4.52)	-0.00 (-3.74)	-0.00 (-3.17)
Volatility: Implied	-0.04 (-4.50)	-0.12 (-3.69)	-3.48 (-3.18)	-0.01 (-5.48)	-0.05 (-1.91)
<i>Panel B: Specification 2</i>					
Correlation: EW	-0.02 (-2.04)	-0.03 (-1.07)	-2.35 (-1.97)	0.00 (0.05)	-0.00 (-0.05)
Correlation: VW	-0.02 (-1.48)	-0.03 (-0.79)	-2.04 (-1.54)	-0.00 (-0.10)	0.02 (1.13)
Volatility: Realized	-0.00 (-4.11)	-0.01 (-3.86)	-0.21 (-3.11)	-0.00 (-2.77)	-0.00 (-2.58)
Volatility: Implied	-0.01 (-2.81)	-0.05 (-3.71)	-0.19 (-0.36)	-0.00 (-2.76)	-0.03 (-2.70)

Table 4: interaction of political uncertainty with economic conditions.

Table 5

Political uncertainty and the equity risk premium.

This table asks: "Does political uncertainty command a risk premium that is higher in weaker economic conditions?" Panel A reports the estimated slope coefficients b and their t -statistics from the regression

$$R_{t+1,t+h} = a + bPU_t E_t + cPU_t + dE_t + e_t$$

$R_{t+1,t+h}$ is the aggregate stock market return in excess of the one-month T-bill rate over $h=3, 6$, and 12 months following month t . Panel B runs the same regression, but it replaces $R_{t+1,t+h}$ with a month- t fitted value from the predictive regression of the next quarter's return ($R_{t+1,t+3}$) on the current values of three predictors: the aggregate dividend yield, the one-month T-bill rate, and the term spread. The dividend yield is equal to total dividends paid over the previous 12 months divided by the current total market capitalization. The term spread is the difference between the yields on the five-year and one-year zero-coupon Treasury bonds. PU_t is the policy uncertainty index of Baker, Bloom, and Davis (2012), divided by 100. We use five proxies for economic conditions E_t : the Chicago Fed National Activity Index (CFI), minus the NBER recession dummy ($-REC$), industrial production growth (IPG), Shiller's price-to-earnings ratio for the aggregate stock market (P/E), and minus the AAA-BBB corporate bond default spread ($-DEF$). Since higher values of each proxy indicate better economic conditions, our theory predicts $b < 0$. The t -statistics, reported in parentheses, are computed based on Newey-West standard errors with the number of lags equal to h . The slope coefficients in Panel B are multiplied by ten to show more significant digits. The sample period is January 1985 through December 2010.

Horizon	Measure of economic conditions				
	CFI	-REC	IPG	P/E	-DEF
<i>Panel A: Equity premium: Future realized excess return</i>					
3 Months	-0.02 (-1.30)	-0.05 (-1.24)	-0.89 (-0.71)	-0.01 (-2.17)	-0.03 (-1.19)
6 Months	-0.04 (-2.09)	-0.11 (-1.53)	-2.50 (-1.17)	-0.01 (-3.18)	-0.09 (-1.97)
12 Months	-0.09 (-2.41)	-0.21 (-1.78)	-6.48 (-1.76)	-0.02 (-2.85)	-0.15 (-1.69)
<i>Panel B: Equity premium: Fitted value from a regression</i>					
	-0.09 (-2.47)	-0.27 (-2.17)	-6.46 (-2.35)	-0.02 (-4.75)	-0.01 (-0.10)

Table 5: political uncertainty and equity risk premium.

Tables 4 and 5. These tables test the state-dependence predictions: the effect of political uncertainty is larger in weak economies.

7 Short summary

- The paper builds a general equilibrium model in which government policy choice affects stock prices.
- Political uncertainty is uncertainty about which policy the government will adopt and what that policy implies for firm profitability.
- Political uncertainty is higher in weak economic conditions because weak conditions make policy change more likely.
- The government provides an implicit put to the market by changing policy when conditions are bad.
- Political uncertainty reduces the value of that put and raises risk premia.
- Political shocks are common across firms, so they raise volatility and correlations.
- Numerical figures show that the political risk premium is largest when economic conditions are weak.
- Empirical tests using the policy uncertainty index broadly support the model's predictions.
- The evidence is strongest for the countercyclicality of policy uncertainty and for the positive relation between policy uncertainty and market volatility.
- The paper's main contribution is theoretical, with exploratory empirical validation.

8 Conclusion

8.1 Core conclusion

Pástor and Veronesi show that political uncertainty is a priced systematic risk. It affects stock valuations, risk premia, volatility, and correlations, especially when the economy is weak.

8.2 Economic intuition

In bad times, investors value government intervention because it can protect the market from very poor outcomes. But political uncertainty makes that protection unreliable. Investors demand compensation for bearing the risk that the policy response will be delayed, ineffective, or unfavorable.

8.3 Why state dependence matters

The same amount of policy uncertainty has different consequences in different economic states. In good times, the old policy is likely to remain and political news is less important. In bad times, policy change is likely and the identity of the new policy matters greatly, so political news moves all stocks together.

8.4 Incremental contribution revisited

The paper's incremental contribution is the link between political uncertainty, government put protection, and state-dependent risk premia. It does not merely add policy uncertainty as another shock. It shows how the value and riskiness of political decisions depend on economic conditions.

8.5 Limitations

The model is stylized and abstracts from rich political economy, heterogeneous firms, multiple countries, and direct policy feedback from financial markets to governments. The empirical section is exploratory and uses a relatively short sample, so it should be read as suggestive rather than decisive causal evidence.

8.6 Takeaway

Political uncertainty matters most when markets are already fragile. The paper provides a framework for understanding why policy debates, elections, fiscal crises, and regulatory uncertainty can have unusually large effects during recessions and financial stress.